In the 1870s, the Government of India had worked out a system that was unique in the history of the world's railways. While across the world the trend was either to run either completely privately owned/managed railways or state-owned/managed railways, India became the only state which purchased private rail companies at a premium, and handed them back to the respective companies for management, without any financial stake in it.

> In dealing with the guaranteed companies, the Government of India exercised the option of terminating their contracts in varied manners from 1879 to 1907. The eight major companies whose contracts were terminated during this period were the East India Railway, Eastern Bengal Railway, Sindh, Punjab and Delhi Railway, Oudh and Rohilkhand Railway, South Indian Railway, Great Indian Peninsula Railway, Bombay, Baroda and Central India Railway and Madras Railway.
>
> The companies had been purchased giving fair (or more than fair) price to owners. Before the purchase of these companies, the railways in India were primarily owned and worked by private companies. However, even after the purchase of the big private companies, the Government handed over the management to the companies, who had practically nothing at stake in the successful running of the railways under their charge except their goodwill. The only exceptions were the East Bengal Railway, the Sindh, Punjab and Delhi Railway and the Oudh Rohilkhand Railway, which, after purchase, were put under the Government Agency for running. [88]

THE RAILWAY BOARD TAKES SHAPE

These early years of the new century also saw a formal Railway Board taking shape to better manage and control the railways. The board had full authority to manage the railway lines on commercial principles. It comprised qualified officers from England trained in railway operations and its workings, giving the organization a professional setup.

> In 1901, the Secretary of State for India appointed Sir Thomas Robertson to enquire into and report on the administration and working of the Indian Railways. His recommendations were partially accepted, and on 22 March 1905, the Railway Board was established in place of the Railway Branch of the Public Works Department, the central idea being that there should be a body of practical businessmen entrusted with full authority to manage the railways of India on commercial principles. The Railway Board consisting of a chairman and two members was placed under the Department of Commerce and Industry. The Chairman was given the authority of general control of all matters and the power to act on his own responsibility, subject to the confirmation of the board. [89]

WORLD WAR I AND THE INDIAN RAILWAYS

The Fall of Baghdad